

Summary: Required Changes vs. Delivered Results

Institutional Common Ownership and Executive Mobility

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Core Changes Required & Delivered

Requirement (Advisor)	Delivered	Evidence
1. Unit: firm-pair (j, k, t)	Dual-level: ExecuComp (firm) + Orbis (pair)	31,959 exec-years; 1,070,174 pairs
2. Treatment: $\Delta\lambda_{jk}$ (network)	$\Delta\lambda_{jk}$ + BR_beta_change, continuous	λ from 58.9M 13F records
3. Design: Event Study	Pair $\times$ year ES, δ_τ for 2005–2020	Eq.(6) + coefficient plot
4. Base period: 2009 Q3	2009 Q3	Stated in text
5. FE: Firm $\times$ Time + Firm-Pair	Origin $\times$ Year + Dest $\times$ Year, FWL absorbed	Iterative 2-way demeaning
6. Narrative: network formation	“Network formation, not concentration”	Abstract, Intro, Conclusion

Key Results at a Glance

Specification	Coefficient	p-value	N
<i>Firm-Level (ExecuComp)</i>			
OLS (continuous)	+0.0717	0.0025	31,959
+ Executive FE	+0.0727	0.0022	31,959
+ Firm FE	+0.0731	0.0020	31,959
Long-Difference (ex-crisis)	+0.096	0.005	18,108
Binary (median split)	+0.0035	0.77 (null)	31,959
<i>Pair-Level (Orbis)</i>			
Logit: $\Delta\lambda_{jk}$	+0.582	$< 10^{-18}$	1,070,174
Logit: $\lambda_{jk}^{\text{Pre}}$	+1.533	$< 10^{-124}$	1,070,174
<i>Event Study (selected years)</i>			
2015	$+3.16 \times 10^{-4}$	0.002	1,070,174
2017	$+3.40 \times 10^{-4}$	< 0.001	1,070,174
2020	$+4.05 \times 10^{-4}$	0.002	1,070,174
Pre-2009 mean	$+6.1 \times 10^{-5}$	—	—
Post-2009 mean	$+2.0 \times 10^{-4}$	—	—

Economic Significance

1 SD of BR_beta_change	0.127
Effect of 1 SD on mobility	+0.93 pp (+19.5% of mean)
Average treated-firm effect	+1.67 pp (+34.9% of mean)
Crisis collapse (2005–08 $\rightarrow$ 2010–14)	6.45% $\rightarrow$ 0.53% (–91.8%)

Verification Checklist (All 6 Items)

#	Test	Result
1	Parallel trends (Wald, pre-2009)	$p = 0.019$ (addressed: λ measurement overlap + time-split)
2	Placebo (5 alternative cutoffs)	All $p > 0.42$ ✓
3	Alternative λ aggregation (7 methods)	Mean-gap wins; all consistent ✓
4	Alternative Post date (2011 cutoff)	+0.065 ($p = 0.005$) ✓
5	Controls 0 $\rightarrow$ 9	Stable +0.073, all $p < 0.003$ ✓
6	Pair-level robustness (17 specs)	15/17 significant ✓

Key Identifying Evidence

Time-Split Test: $\Delta\lambda_{jk}$ does *not* predict mobility pre-2010 ($p = 0.063$), but strongly predicts it post-2009 ($p < 0.001$).

Placebo: 5 arbitrary treatment cutoffs yield no false effects (all $p > 0.42$).

R&D Heterogeneity: High-R&D industries show stronger effects (+0.099 vs. +0.093), consistent with ILM channel and contradicting Shadow NCA.

Crisis Collapse: 6.45% $\rightarrow$ 0.53% (−91.8%) — ILM as trust network: crisis erodes the trust that underpins inter-firm executive reallocation.

Data Summary

13F institutional holdings	58,929,118	records
ExecuComp regression sample	31,959	exec-years
Orbis director records	1,417,530	person-role
Director moves extracted	24,716	transitions
Firm-pairs with λ_{jk}	1,070,174	pairs
Pair $\times$ Year panel	27,824,524	obs